

Mark schemes

1.

For relevant definitions, eg

- marginal product
- marginal revenue product
- wage rates.

Employment: In a perfectly competitive labour market the wage rate is the price of labour and the employer is a price taker MRP falls as a firm takes on more employees; as long as wage rate < MRP it is worth taking on more staff; where $WR = MRP$ the employer stops taking on more employees.

Wage rates: determined on the labour market; within a firm the above theory suggest that each worker receives MRP; conditions for a perfect labour market.

- Wider arguments: elasticity of demand for labour, MRP considers demand side; must also consider supply side of labour; can argue that MRP is of limited use, due to market 'imperfections', bilateral monopoly, collective bargaining etc.

[15]

**2.****Issues and areas for discussion include:**

Introduction	Definitions/descriptions of eg trade union, collective bargaining.
Developing the response to the question (application)	- Relevant use of theory, eg effects of collective bargaining - Evidence from the data, eg reference to - British trade unions (Extracts A, B) - Chinese experience (Extract C) - multinational behaviour, eg Walmart (Extract C) - candidate's own knowledge, eg relevant application of 'minimum wage' concepts to this particular context.
Developing the response to the question (analysis)	- Possible 'negative' effects of trade unions, eg - slow down productivity gains - reduce competitiveness, by, eg - increasing costs of production - reducing flexibility - creating barriers to exit from a market - Possible positive effects, eg - protect members' earning power - fight discrimination in the workplace - improve working conditions, eg - health and safety of employees - working hours and holiday entitlement - may <u>reduce</u> costs (easier to negotiate with a single entity) - Use of the perfect competition model in the labour market - Use of the imperfect competition model in the labour market.
Evaluation	- positive versus negative aspects - consideration of the value-laden word 'exploitation' in the question - challenging basic assumptions, e.g. that employers do not want to be part of a high wage industry, or that unions are not interested in flexibility or efficiency, e.g. through multi-skilling or training - consideration of when is a union not a union (critical view of the Chinese model) - role of government in general in trade union matters - role of UK government in particular - question the implication contained in the data (Extract C), that workers rights are incompatible with investment in and growth of businesses. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- relevant diagrams
- an overall judgement on the issues raised.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

3.

Issues and areas for discussion include

Introduction	• Functions of trade unions • Impact of collective bargaining
Developing the response to the question:	• Factors affecting union power, e.g: ◦ Membership levels ◦ Militancy ◦ Industrial legislation • Unions and: ◦ Competitive labour markets ◦ Monopsony labour markets • Likely effects of unions on: ◦ Female wages ◦ The level of female employment ◦ Types of jobs available to women ◦ Working conditions, e.g: ◦ Health and safety ◦ Employment practices, e.g. status and protection of part-time staff
Evaluation	• discussing whether unionisation is the best method of closing the gender gap, or whether other methods would be more effective, e.g: ◦ government legislation ◦ directing education and training at women ◦ leaving it to market forces

[25]

4.

Explanation:

For candidates who:

- Define or explain 'earnings' eg wage is the 'price' of labour, and relate this to the supply of labour (monetary rewards, non-monetary rewards) and its demand (derived demand, marginal revenue product).
- Argue that the labour market is not a perfect market, and/ or that wage discrimination is a form of price discrimination, and identify key factors in the gender pay gap, e.g:
 - Human capital differences (educational levels, experience, breaks from paid work, etc.) which lead to differences in marginal revenue product
 - Part time working (more likely for women than men)
 - Travel patterns/ commuting distance differences
 - Occupational segregation (some jobs regarded as 'women's work', especially in retail and caring professions)
 - Workplace segregation (differences in job-grading, appraisal, promotion prospects, etc)
 - Women less likely to be unionised (leads on to part (b))

Human capital is a factor in gender discrimination. In the past, men and women have had different life chances in terms of educational qualifications, work experience and family expectations) While these differences have lessened due to more equal opportunities women are still more likely than men to take a career break for children and other dependents. This takes women out of the promotion ladder and might lead to employers preferring male to female employees.

[15]

**5.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction	• distinction between mobility and flexibility • mobility: occupational, geographical • flexibility: hiring and firing, skills, etc.
Developing a response to the question:	• Costs to UK economy, eg ◦ Wages depressed by cheap influx of labour ◦ Shortages re-appear when migrants return home ◦ Loss of spending power when earnings are repatriated • Benefits to UK economy, eg ◦ Better information ◦ Recognition of UK qualifications in EU ◦ Job opportunities in EU for UK workers ◦ Possible harmonisation of working conditions, tax rates, pension rights, health services ◦ Skills gaps filled ◦ Labour shortages alleviated
Evaluation:	• benefits versus costs • discussion of the 'proper' role of government / NHS / other bodies • Consideration of monetary / non-monetary factors (Extract F suggests that a 'scheme' was considered necessary to attract dentists) • complications arising from cross-border movements, eg ◦ 'British jobs for British workers' ◦ Difficulty of long-term stability, when workers can leave as easily as they can arrive ◦ Effects on economic welfare in the countries that dentists / other workers leave (the question is UK centric, but there is such a thing as 'interdependence' – what if other countries respond by trying to 'poach' key UK workers?) • Other considerations ◦ Pressure on housing / schools and benefits ◦ Possible multiplier effects ◦ Implications for government tax revenues ◦ Impact on wage inflation and economic growth

	◦ Significance of 'flexibility' in general. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as lowlevel evaluation and rewarded accordingly. Stronger evaluation would prioritise the benefits and costs, and / or give economic reasons for justifying a judgement on, for example, whether benefits generally outweigh costs, or whether large firms on balance benefit more than small firms.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised • use of data

[25]

6.

Explanation:

Explain (eg define / describe) wage differentials

- eg in terms of the payment of a different wage rate (or price of labour) to different groups of workers, and / or between individual workers within the same occupational group

Analysis:

Analyse **two** reasons for wage differentials, for example:

- differences in the supply of labour such as inter-occupational skills, training, responsibilities and elasticity of supply
- differences in the demand for labour (derived demand)
- differences in inter-industry marginal revenue productivity
- growth rates/competition between industries (eg the media are a growth industry, the DG of the BBC claims he could earn more elsewhere)
- regional differences/differentials encourage mobility
- non-market factors, eg government intervention, trade unions, professional groups
- discrimination.

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8.

Issues and areas for discussion include:

Introduction	• the characteristics of government intervention • distinction between product and labour markets • meaning of market failure, government failure • meaning of market failure in the fishing industry
Developing the response to the question: Application	Discussion based on information from the data related to, for example, • product market, e.g. price and quantity of fish, effects of quotas • labour market, e.g. collapse of employment in the trawler industry • wider fishing industry, e.g. processing.
Developing the response to the question: Analysis	• marginal cost and marginal private benefit of fishing: an overfishing equilibrium • types of government intervention, e.g. taxes, subsidies, quotas • effects of government intervention on prices and quantities • the possibility that the CFP actually encourages large-scale fishing and therefore defeats the conservation objective (there are strong hints in the data pointing to this conclusion) • links between product markets and labour markets, eg. the concept of derived demand • market failures in the fish product market, e.g. lack of information, externalities • higher fish prices do not incentivise further supply from 'producer', as the producer is nature not man • higher prices incentivise even more over-fishing for the profits available • market failures in the fishing labour market, e.g. occupational immobility, geographical immobility • the inefficiency of EU bureaucracy • government failure in the fishing market, e.g. bureaucracy, irrational policies (waste of dumping the 'wrong' fish), information failure • regional downward multiplier effects.
Evaluation	• need for international action • rationale for EU intervention • possibility that EU and national governments act out of step, or even in conflict with each other • possibility that a policy can benefit a product market while harming a labour market, or vice versa • the option of non-intervention; argument that product markets work • arguments that labour markets work, e.g. the data mentions

	diversification in the Grimsby area depends on what is done over what time period, to what extent, and state of the UK economy. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- relevant use of evidence and examples not contained in the data - diagrams - an overall judgement on the issues raised.

[25]